

IRS (fifty-five and one half cents per mile in 2012). Keep a mileage log and save it with your tax papers for the year. You can also deduct airfare, train, bus, and lodging expenses (but not meals) while en route for you and any dependents that you take with you. Keep receipts for everything.

Employer-Sponsored Move

Employers use one of two methods of covering your moving costs. In the first method, your employer gives you a moving allowance for you to use as you see fit, and adds the amount to your taxable income when they issue your W-2 at the end of the year. You can offset some or all of this income by claiming your allowable expenses. In the second method, you pay the expenses yourself and submit a claim to your employer for reimbursement. Only expenses your employer reimburses you for that aren't IRS-allowable will be included on your W-2.

Not all moving-related expenses are allowable. For instance, temporary housing at the new location, house-hunting trips, meals en route to your new home, and long-term storage of your household belongings are not allowable deductions. For details on the moving expense deduction, see IRS Publication 521, *Moving Expenses*.